

The Information Ratio and Performance

Implications for tracking error budgeting.

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Tracking error (relative to a prespecified benchmark) is a necessary evil that investors accept in the hope that their asset manager may generate alpha. It is thus illuminating to understand the relationship of tracking error to performance for the various asset classes (both alpha generation and persistence).

This understanding will achieve two purposes. First, if investors believe that the implicit relationship between tracking error and performance is the correct one going forward, this will allow them to form reasonable expectations of the performance of their money managers and evaluate them appropriately. Second, it will allow investors to manage risk — as measured by the tracking error — across their portfolios.¹

The benchmarks we use are set forth in Exhibit 1. Exhibit 2 summarizes the results of our research for the universe of money managers for six asset classes. The data for top-quartile managers are particularly instructive. Top-quartile managers added value in all asset classes for the five-year period ended December 1997. Persistence in performance, however, was non-existent or weak among U.S. large-cap and small-cap managers.

Exhibit 2 shows that top-quartile managers for international and emerging markets equity have persistently added value. Large structural deviations in the five-year period were important to the strong performance of international equity managers benchmarked against the MSCI EAFE index.² In the case of emerging markets equity, the same holds true. Managers were

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